

Financial Relationship Between Centre and States in India

1. Introduction

India follows a federal system of government where powers are divided between the Union (Central) Government and State Governments. Since both levels of government have responsibilities, the Constitution provides a framework for sharing financial resources and maintaining fiscal balance.

The financial relationship between the Centre and States is dealt with mainly under Part XII of the Indian Constitution (Articles 264–300A), especially Articles 268–293.

The main objective is to:

- Divide taxation powers between Centre and States.
- Distribute financial resources fairly.
- Provide financial assistance to weaker States.
- Maintain economic stability and cooperative federalism.

2. Constitutional Provisions Related to Centre-State Financial Relations

Article	Provision
Article 264	Interpretation of financial provisions
Article 265	No tax can be imposed without authority of law
Articles 268–281	Distribution of tax revenues
Article 280	Finance Commission
Article 282	Grants for public purposes
Article 293	Borrowing powers of States
Article 292	Borrowing powers of Centre

3. Distribution of Financial Powers

The Constitution divides financial powers into three categories:

A. Taxation Powers

The Seventh Schedule of the Constitution divides subjects into:

1. Union List
2. State List
3. Concurrent List

Taxation powers are mainly divided between Union and State Lists.

4. Taxes Levied by the Centre

The Central Government has the power to impose taxes on subjects in the Union List.

A. Major Central taxes include:

1. Income Tax

- Levied on income of individuals.
- Agricultural income is excluded (taxed by States).

2. Corporation Tax

Tax on profits of companies.

3. Customs Duties

- Tax on imports and exports.

4. Central Excise Duty

- Mainly on petroleum products and certain goods.

5. Goods and Services Tax (GST)

- Centre levies:
 - Central GST (CGST)
 - Integrated GST (IGST)

B. Taxes Levied by States

States have authority over taxes mentioned in the State List.

Major State taxes include:

1. State GST (SGST)

- State share of GST on intra-state transactions.

2. State Excise Duty

- Tax on alcoholic liquor for human consumption.

3. Stamp Duty

- On legal documents and transactions.

4. Land Revenue

- Tax related to agricultural land.

5. Vehicle Tax

- Tax on transport vehicles.

6. Electricity Duty

- Tax on consumption of electricity.

7. Tax on Professions

- Maximum limit prescribed by Parliament.

Distribution of Tax Revenues Between Centre and States

The Constitution provides different methods for sharing tax revenues.

A. Taxes Levied and Collected by Centre but Assigned to States (Article 268)

Certain taxes are collected by the Centre but the entire proceeds go to States.

Examples:

- Stamp duties
- Duties of excise on medicinal and toilet preparations

B. Taxes Levied by Centre but Collected and Appropriated by States (Article 269)

Certain taxes are collected by the Centre but assigned to States.

Example:

- Taxes on inter-state trade (historically; now largely replaced by GST mechanisms)

C. Taxes Levied and Collected by Centre and Distributed Between Centre and States (Article 270)

This is the most important method.

- The Centre collects taxes.
- A portion is shared with States.
- The Finance Commission recommends the sharing formula.

This process is called: Tax Devolution

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7. Finance Commission (Article 280)

Meaning

The Finance Commission is a constitutional body established by the President every five years.

Composition

- Chairman
- Four other members

Functions

The Finance Commission recommends:

1. Distribution of Taxes

- Share of States from Central taxes.

2. Grants-in-Aid

- Financial assistance to States.

3. Measures to Improve State Finances

4. Resources of Panchayats and Municipalities

- Recommendations for strengthening local bodies.

8. Grants-in-Aid to States

Apart from tax sharing, the Centre provides grants to States.

A. Statutory Grants (Article 275)

- Given to States requiring financial assistance.
- Recommended by the Finance Commission.

Purpose:

- Reduce regional inequalities.
- Support development programmes.

B. Discretionary Grants (Article 282)

- Centre or States can provide grants for any public purpose.
- Often used for centrally sponsored schemes.

Examples:

- Education schemes
- Health programmes
- Rural development schemes

9. Goods and Services Tax (GST) and Centre-State Relations

GST introduced a new system of indirect taxation.

Constitutional Basis

- Introduced through the 101st Constitutional Amendment Act, 2016.

GST Structure

Central GST (CGST)

- Collected by Centre.

State GST (SGST)

- Collected by States.

Integrated GST (IGST)

- Applied on inter-state transactions.
- Collected by Centre and distributed between Centre and States.

10. GST Council

Article 279A

The GST Council is a constitutional body.

Members:

- Union Finance Minister (Chairperson)
- Union Minister of State for Finance
- State Finance Ministers

Functions:

- Recommend GST rates.
- Decide exemptions.
- Frame GST rules.
- Promote cooperation between Centre and States.

11. Borrowing Powers

A. Central Government (Article 292)

The Centre can:

- Borrow within India.
- Borrow from foreign sources.

B. State Governments (Article 293)

States can borrow:

- Within India.
- Through loans.

However:

- If a State has outstanding loans from the Centre, it requires Central permission for further borrowing.

12. Distribution of Non-Tax Revenues

Central Non-Tax Revenues:

- Fees
- Fines
- Profits from public sector enterprises
- Interest receipts
- Dividends

State Non-Tax Revenues:

- Fees
- Forest income
- Irrigation receipts
- State public enterprises

13. Fiscal Imbalance Between Centre and States

A major feature of Indian federal finance is the vertical imbalance.

Vertical Imbalance

Meaning:

- Revenue powers are concentrated with the Centre.
- States have greater expenditure responsibilities.

Example:

States spend more on:

- Education
- Health
- Agriculture
- Police

- Rural development

Horizontal Imbalance

Meaning:

- Different States have different levels of development and revenue capacity.

Example:

- Developed States generate more revenue.
- Poor States require greater financial assistance.

The Finance Commission attempts to correct these inequalities.

14. Role of NITI Aayog in Financial Relations

The NITI Aayog promotes cooperative federalism.

Functions:

- Policy coordination between Centre and States.
- Support for development strategies.
- Encourage competitive federalism.

15. Cooperative Federalism in Financial Matters

Cooperative federalism means Centre and States work together.

Examples:

- GST Council
- Finance Commission
- Centrally Sponsored Schemes
- Inter-State Council

16. Problems in Centre-State Financial Relations

1. Dependence of States on Centre

- States depend heavily on central transfers.

2. Unequal Distribution of Resources

- Developed and backward States have different financial capacities.

3. Delay in Transfer of Funds

- States sometimes face delays in receiving funds.

4. Centrally Sponsored Schemes

- States argue that these reduce their financial autonomy.

5. GST Compensation Issues

- States have raised concerns about revenue losses after GST implementation.